

POLITICAL ECONOMY PROGRAM

THE MAIN CHAPTERS

THE FIRST CHAPTER: The concept of political economy

THE SECOND CHAPTER: History and development of political economy

THE THIRD CHAPTER : The types of economic systems

THE FOURTH CHAPTER : Islamic political economy

WHAT IS POLITICAL ECONOMY

ITS MEANING ACCORDING TO THE OXFORD DICTIONARY

A branch of knowledge or academic discipline

The term political economy is derived from the Greek polis, meaning “city” or “state,” and oikonomos, meaning “one who manages a household or estate.” Political economy thus can be understood as the study of how a country—the public’s household—is managed or governed, taking into account both political and economic factors.

According to the jurist Alfred Marshall Economics is the study of man in the ordinary business of life it examines how a person gets his income and how he invests.

branch of social science that studies the relationships between individuals and society and between markets and the state, using a diverse set of tools and methods drawn largely from economics, political science, and sociology.

Jurisprudential definition:

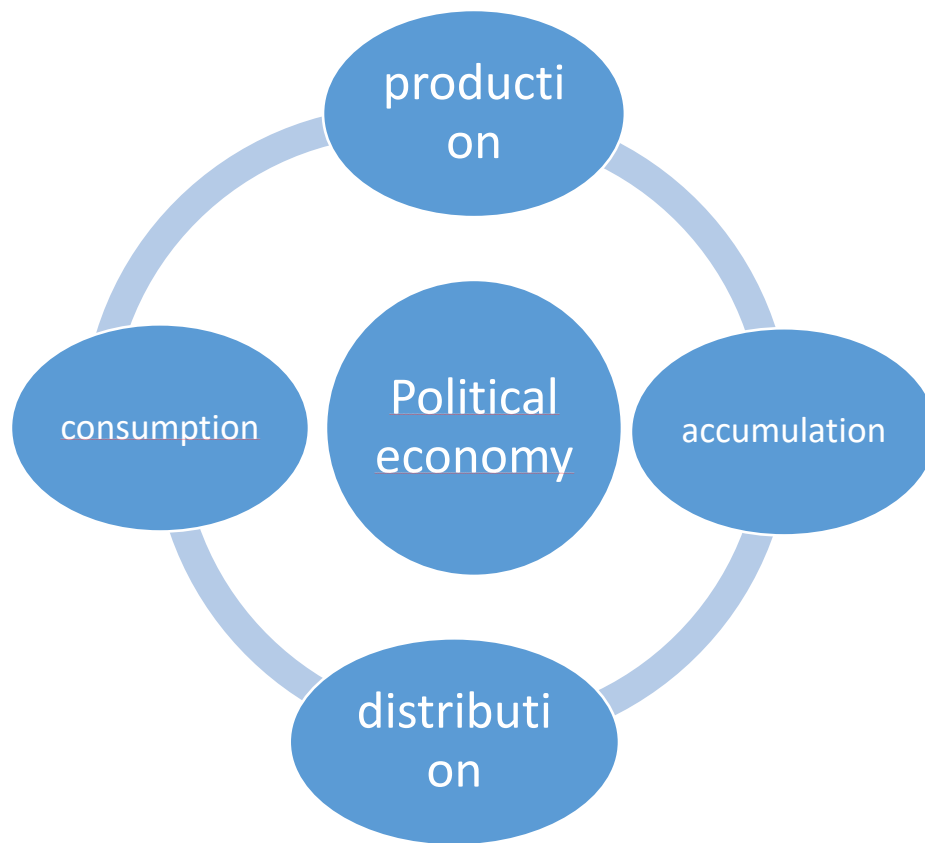
the Science that is concerned with the study of social laws that govern production, distribution and materials tools to satisfy human needs.

the study of economic phenomena and relations as phenomena and relations of a historical and social nature that can not be understood outside this framework .

Political economists study how economic theories such as capitalism, socialism, and communism work in the real world. Any economic theory is a means of directing the distribution of a finite amount of resources in a way that benefits the greatest number of individuals.

These ideas can be studied both theoretically and as they are actually used. Public policy that is created and implemented derive from these economic theories. Political economists study both the underlying roots of these policies and their results.

Political Economy belongs to no nation; it is of no country: it is the science of the rules for the production, the accumulation, the distribution, and the consumption of wealth. It will assert itself whether you wish it or not. It is founded on the attributes of the human mind, and no power can change it.



Characteristics of political economy

1. **Interdisciplinary Nature:** Political economy draws on insights from various disciplines, including economics, political science, sociology, and history, to understand the complex relationship between politics and economics.
2. **Power Relations:** Political economy emphasizes the role of power in shaping economic outcomes. It examines how political institutions and actors influence the distribution of resources, wealth, and opportunities within a society.
3. **Institutions:** The study of political economy focuses on the impact of institutions, both formal (e.g., government structures, legal

systems) and informal (e.g., social norms, traditions), on economic behavior and outcomes.

4. **Economy systems:** political economy different economy analyzes different economy systems and their political foundation such as capitalism, socialism and mixed economies.
5. **Public Policy:** Political economy examines the role of government in the economy, including the formulation and implementation of economic policies.
6. **Global Perspective:** Political economy extends its analysis to the global level, studying how international relations, trade, and global governance structures affect economic development and inequality across countries.
7. **Class and Social Structures:** It explores the impact of social class and social structures on economic processes. Class analysis is often employed to understand how different groups within society experience and influence economic change.

THE EVOLUTION OF POLITICAL ECONOMY

1 – IN ANCIENT TIMES

WITH PLATO

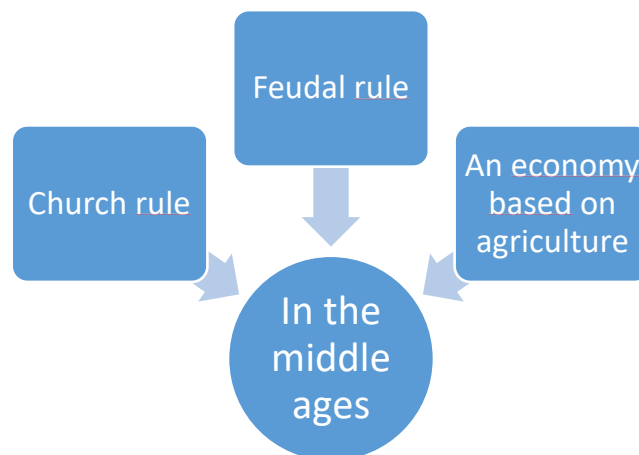
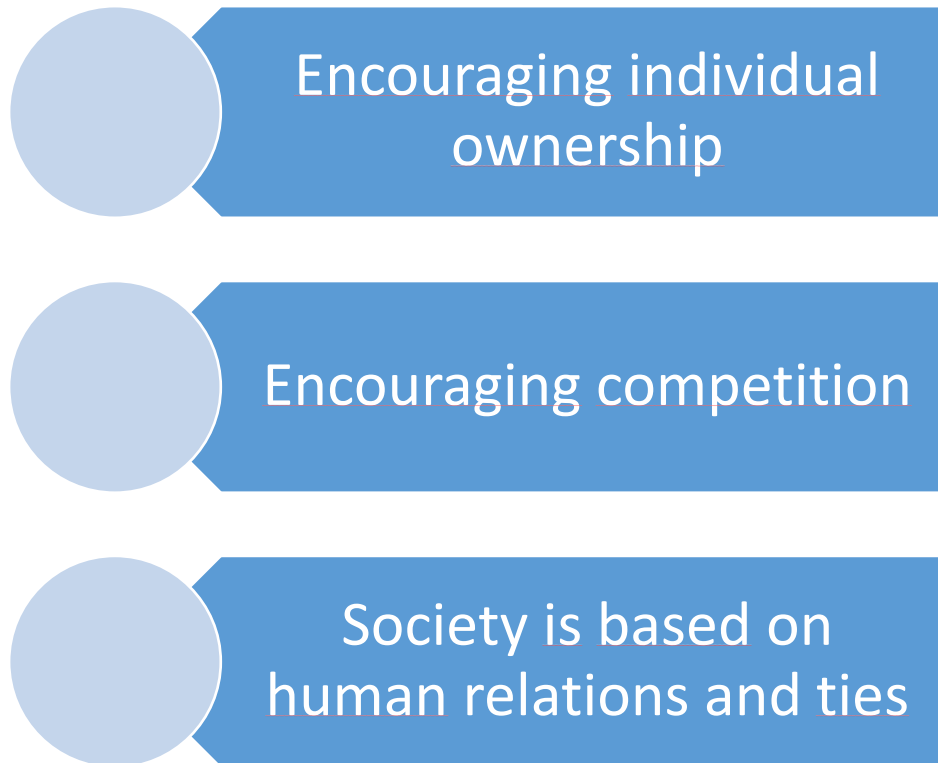
COLLECTIVE
OWNERSHIP

STATE INTERVENTION
IN THE ECONOMY
SECTOR

RULERS AND MILITARY
CANNOT OWN
PROPERTY

FARMERS AND
WORKERS CAN OWN
PROPERTY

SOCIETY IS GOVERNED
BY RELATIONSHIPS
BASED ON MUTUAL
NEEDS



Political economy with Ibn Khaldun

Economic activity has several types which he called Aspects of the economy or Aspects of pension, which are : governance, trade, agriculture, and industry.

Division of labour: he gave the importance of work and divided it into types.

Give a concept of **Value** and its importance in determining the price of goods and products.

POLITICAL ECONOMY SYSTEMES

IN MODERN TIMES



DIFFERENT ECONOMIC SYSTEM

CAPITALIST ECONOMIC SYSTEM	SOCIALIST ECONOMIC SYSTEM	MIXED ECONOMIC SYSTEM
1. PRIVATE OWNERSHIP. 2. PRESENCE OF SOVEREIGNTY. 3. FREEDOM OF ENTERPRISE. 4. PRICE MECHANISM.	1. GOVERNMENT OWNERSHIP. 2. CENTRAL ECONOMIC PLANNING. 3. SERVE INTERESTS OF THE SOCIETY.	1. MIXTURE OF BOTH. 2. BOTH PRIVATE AND PUBLIC SECTOR. 3. CONSUMER'S SOVEREIGNTY PRESENT.

CAPITALISM

Capitalism was founded by the jurist Adam Smith on the ruins of feudalism.

Eliminating the injustice of feudalism and opening the door to work for Individuals.

- Capitalism is a system of economic production that is controlled by market forces rather than a central government.
- Business owners acquire the means of production and hire workers who get paid for their labor under capitalist structures.

- This system is defined by private property rights, capital accumulation and re-investment, free markets, and competition.
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COMMUNISM Socialist economy

a theory or system of social organization in which all property is owned by the community and each person contributes and receives according to their ability and needs

This economy system acknowledges the three inquiries in a different way. In a socialist society, the government determines what products are to be manufactured in accordance with the requirements of the society. It is believed that the government understands what is appropriate for the citizens of the country. Therefore, the passions of individual buyers are not given much attention.

The communist ideology was developed by Karl Marx and Friedrich Engels

Communism became widespread during the 20th century and was a key part of the Cold War. Exactly what is communism? Although the exact meaning of communism can vary based on context, communism is a political and economic ideology that generally seeks the creation of a

classless society through state intervention in and control over the economy and society.

Communist politicians thus seek to eliminate traditional hierarchies and create a society that is free of class inequality and the exploitation of workers. Originally, it was believed that the proletariat, would lead this state-led reform through revolution. also create planned economies, where the government dictates production instead of the laws of supply and demand, which determine output in capitalist economies.



MIXED ECONOMIC SYSTEM

The mixed economic system is defined as an economic system that combines the elements of a market economy and the elements of a planned economy. It is a synthesis of socialism and capitalism, which contains both private enterprises and public enterprises. Most modern economies implement a mixed economic system.

A mixed economic system brings the advantages of free markets and also government intervention. However, there are also concerns about the sustainability and efficiency of a mixed economic system.

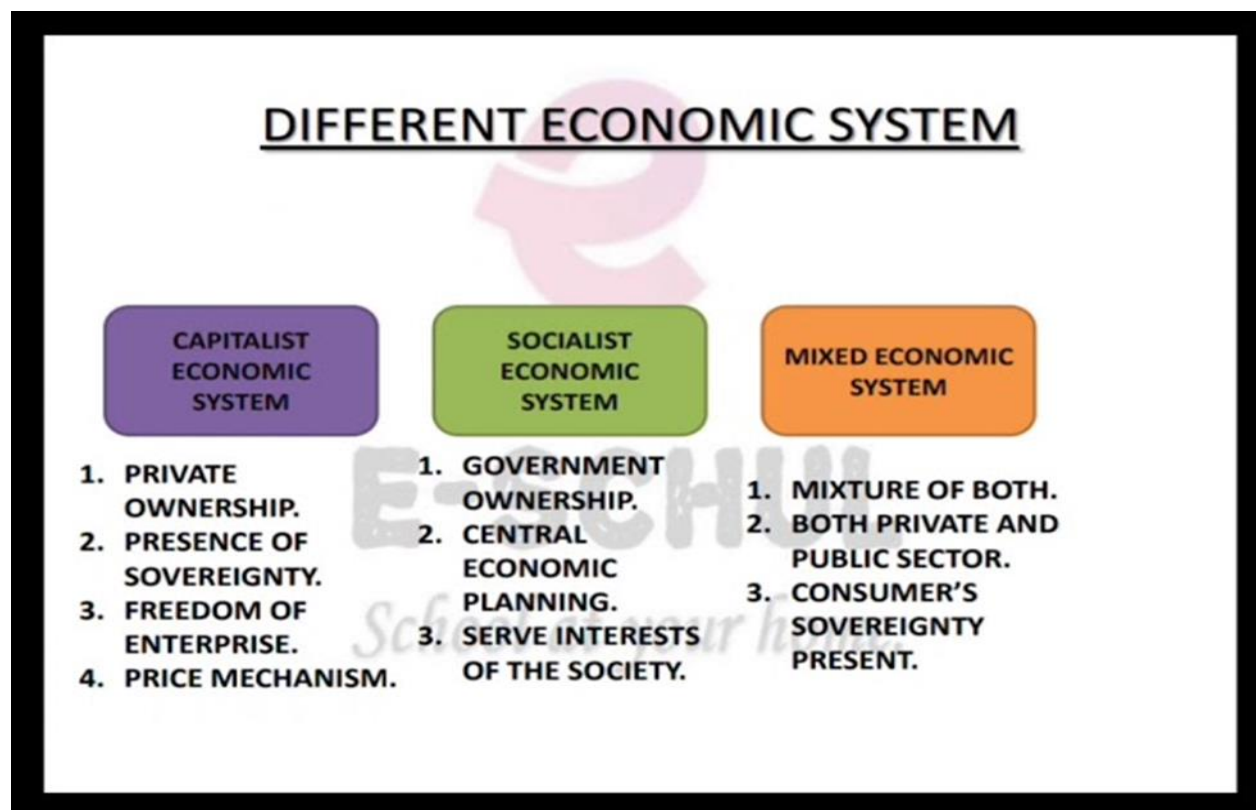
In a mixed economic system, the private sector and public sector co-exist. There is a certain level of economic freedom so that the private sector can decide the use of capital and seek profits. It simultaneously allows the government to intervene in some economic activities and industries. Through providing public goods and collecting taxes, the government can create more social welfare

Characteristics of mixed economic system

mixed economic system synthesizes the elements of a market economy and the elements of a command economy.

In a mixed economic system, free markets co-exist with government intervention, and private enterprises co-exist with public enterprises.

The advantages of a mixed economy include efficient production and allocation of resources, as well as improvement of social welfare.



Islamic Political Economic

Islamic Political Economics aims to fulfill each individual's primary needs (food, shelter, and clothing). In implementing the Islamic Political Economy, the state has an important role, either directly or indirectly.

refers to the knowledge of economics or economic activities and processes in terms of Islamic principles and teachings.[1] Islam has a set of special moral norms and values about individual and social economic behavior. Therefore, it has its own economic system, which is based on its philosophical views and is compatible with the Islamic organization of other aspects of human behavior: social and political systems.

Characteristics of Islamic Political Economics

Sourced from Islamic law

Islamic political economy is comprehensive

Islamic political economy is realistic

Principles of political economy

A sale on mutually agreed profit

Speculation